

To : **K-ensol CO., LTD.,**
32-10 Geumyul-ro 30beon-gil, Geumwang-eup,
27642 Eumseong, South Korea

Letter No : **SFVA-O-GEN-20260430-OFC-CR-LET-PowerCo_Kensol_0028**
Date : **1st of May 2026**
Attention : Dong Min Kim <dm.kim@k-ensol.com>, John Kim <john.kim@k-ensol.com>
Project : Clean and Dry Rooms Works
Your : -
Reference
Our : -
Reference
Subject : **Notice to Correct under Sub-Clause 15.1 - Notification
Regarding Contractor's Contractual Non-Compliances and
Failure to Perform**

Dear Sirs,

We refer to Contract for the Clean and Dry Rooms Works, governed by the FIDIC Conditions of Contract for EPC/Turnkey Projects (First Edition 1999, Silver Book), entered into between PowerCo Battery Spain S.A.U. (the "**Employer**"/"**PowerCo**") and K-ENSOL CO., LTD. (the "**Contractor**"/"**K-ENSOL**") on May, 19th, 2025 with the effective date April, 2nd, 2025 (the "Contract").

In the context of the above-mentioned contractual relationship, and further to the repeated written and verbal communications already addressed to K-ENSOL in connection with its performance under the Contract, PowerCo hereby issues this formal Notice to Correct (the "**Notice**") pursuant to Sub-Clause 15.1 [Notice to Correct] of the Conditions of Contract.

This Notice consolidates – without limitation or waiver – all prior notices, warnings and formal requirements previously addressed to K-ENSOL and it evidences a persistent pattern of deficient and defective contractual performance as well, lack of contractual discipline and inadequate execution of the Works which – taken individually and cumulatively – constitutes serious, material and continuing contractual breaches exclusively imputable to K-ENSOL.

For the sake of clarity and transparency – and without limitation to any other rights or remedies in favour of PowerCo under the Contract, PowerCo hereby formally sets out a non-exhaustive list of non-performance, contractual non-compliance and deficient and/or defective Contract execution by K-ENSOL, which require immediate acknowledgment, assumption of responsibility and effective remediation actions by the Contractor:

1. Failure to Perform the Works with Due Diligence and Professional Commitment

(Sub-Clause 4.1, Sub-Clause 5.1, Sub-Clause 7.5, Sub-Clause 8.2, Sub-Clause 8.3, Sub-Clause 4.4, Sub-Clause 8.6, Sub-Clause 4.6)

Pursuant to Sub-Clause 4.1 [Contractor's General Obligations], the Contractor is obliged to design, execute and complete the Works with due care, diligence and professional skill, ensuring that the Works are fit for their intended purpose. Further, Sub-Clause 5.1 provides that the Contractor shall carry out, and be responsible for, the design of the Works and for ensuring the accuracy of such Works in accordance with the Employer's Requirements, including the relevant design criteria and calculations. The Contractor, however, has repeatedly failed to fulfil these express obligations under Sub-Clauses 4.1 and 5.1, resulting in delays and incomplete and/or non-conformant design, engineering, permitting, and construction of the Works to date. These defaults have been documented in prior correspondence and in various minutes of meetings, which constitute binding contractual records.

In particular, the Contractor has failed to acknowledge its express liabilities under the Employer's Requirements pursuant to Sub-Clauses 4.1 and 5.1 and to discharge such duties with due diligence. This failure has caused delays in the commencement and execution of the design, engineering, and permitting Works due to unaddressed Employer's Requirements, resulting in non-compliance with the requirements of Sub-Clause 8.2, design errors under Sub-Clause 5.8 and rejection by the Employer under Sub-Clause 7.5, thereby leading to abortive work, rework, and operational inefficiencies and breach of conditions of Sub-Clause 8.2 to perform within the Section Schedule Milestones and the Time for Completion.

As of the date of this letter, the above-mentioned matters remain partially unaddressed and continue to hinder the progress of the Works as originally planned, thereby adversely affecting the overall Project objectives and the other contractors. These matters constitute a default by the Contractor of its obligations under Sub-Clause 4.1, Sub-Clause 5.1, Sub-Clause 5.8, Sub-Clause 7.5 and Sub-Clause 8.2.

2. Failure to Commence the Works and Non-achievement of the Time for Completion (Schedule Milestones)

(Sub-Clause 8.1, Sub-Clause 8.2, Sub-Clause 8.3, Sub-Clause 1.1.6.11 PC Part B)

Pursuant to Sub-Clause 8.1 [Commencement of Works], as amended, the Contractor is obliged to commence the design and execution of the Works on the Commencement Date. Furthermore, under Sub-Clause 8.2 [Time for Completion], the Contractor is required to complete the Works within the Time for Completion, including the achievement of the Section Schedule Milestones as contractually defined. In addition, Sub-Clause 8.3 [Programme] requires the Contractor to submit, maintain and update a detailed programme demonstrating the sequence, timing and resources necessary to achieve timely completion of the Works, and perform the Works in accordance with such Programme.

Notwithstanding these clear contractual obligations, the Contractor has failed to commence the Works on the Commencement Date and has not progressed the execution in accordance with the agreed programme and contractual milestones. The Contractor has further failed to provide a reliable, updated and realistic programme in compliance with Sub-Clause 8.3, reflecting actual site conditions, progress status and mitigation measures. This has resulted in significant delays in the achievement of the Section Schedule Milestones and has jeopardized the Contractor's ability to meet the Time for Completion.

In particular, the Contractor has failed to mobilize adequate resources, coordinate activities effectively, and implement necessary acceleration or recovery measures despite repeated notices and requests from the Employer. The lack of timely commencement and insufficient progress of the Works constitute a material deviation from the contractual requirements and demonstrate a continued failure to proceed with due expedition and without delay.

As of the date of this letter, the Contractor remains in delay with respect to the following four (4) contractual Schedule Milestones, and no adequate remedial measures have been effectively implemented to mitigate such delays. All such failures constitute delay events for which Damages for Delay are applicable pursuant to Sub-Clause 8.7. These failures are causing ongoing disruption to the overall Project execution and adversely affecting interfacing works and other contractors.

Section (Sub-Clause 1.1.5.6)	Name/Description	Time for Completion (Sub-Clause 1.1.3.3)
Block-1 CD Rooms Start of Installation		97 days (from the Commencement Date until 07 th July 2025)
Block-1 CDR Readiness for Process Machine Move-in		250 days (from the Commencement Date until 07 th December 2025)
Block-1 Hot Commissioning Starts		312 days (from the Commencement Date until 07 th February 2026)
Block-1 BÜ (Employer's Partial Taking Over)		387 days (from the Commencement Date until 23 rd April 2026)

Such conduct constitutes a breach of the Contractor's obligations under Sub-Clause 8.1, Sub-Clause 8.2 and Sub-Clause 8.3 of the Contract.

Furthermore, under Sub-Clause 8.6 [Rate of Progress], the Employer is expressly entitled to require acceleration or corrective measures where the rate of progress becomes inadequate to meet contractual milestones. Extended delays in the Contractor's design, permitting and construction/installation Works justify the Contractor's inaction and non-compliance with the requirements of this Sub-Clause,

despite the evidently insufficient rate of progress.

Notwithstanding these obligations, the Contractor has demonstrated: repeated delays in execution and decision-making, lack of proactive coordination and an overall pattern of reactive, reluctant performance. These deficiencies are aggrieved by the “Best Efforts” obligation expressly defined in Sub-Clause 1.1.6.11 of the Particular Conditions (Part B), which the Contractor has manifestly failed to meet.

3. Breach of Binding Commitments and Contractual Undertakings

(Sub-Clause 1.2(c), Sub-Clause 1.5, Sub-Clause 1.5 PC Part B)

Pursuant to Sub-Clause 1.2(c) [Interpretation], any agreement or undertaking under the Contract must be recorded in writing, which includes, among others: the Negotiation Protocols, the Letter of Tender, the Letter of Acceptance all of which form part of the Contract pursuant to Sub-Clause 1.5 [Priority of Documents], as amended by the Particular Conditions (Part B).

K-ENSOL’s earlier attempts to deny the binding nature of its commitments – including price validity and scope-related undertakings – constitute a clear repudiatory breach of the Contract and an express violation of the principle of contractual sufficiency under Sub-Clause 4.11 [Sufficiency of the Contract].

By way of example, K-ENSOL expressly undertook, in writing and through duly executed contractual documents, that terms agreed for Block 1 – including price validity until 31 December 2025 – would remain binding and available to PowerCo for the potential execution of Block 2. Notwithstanding this express undertaking, K-ENSOL subsequently engaged in conduct aimed at delaying the acknowledgment and performance of such obligation with full awareness of the applicable validity period, while seeking to deny its binding nature and to unilaterally reopen negotiations at a higher price. Such conduct is incompatible with the Contractor’s contractual obligations and further evidences a repudiatory approach to its binding commitments.

4. Delay and Resistance in Providing Performance Security and Advance Payment Guarantee

(Sub-Clause 4.2, Sub-Clause 14.2)

Under Sub-Clause 4.2 [Performance Security], the Contractor was obliged to provide a valid, unconditional and first-demand Performance Security within 28 days from the Letter of Acceptance , i.e., by no later than 29 April 2025.

Similarly, Sub-Clause 14.2 [Advance Payment] expressly conditions any advance payment upon the prior submission and approval of a compliant Advance Payment Guarantee.

Notwithstanding this requirement, the Contractor provided the Performance Security only on 7 January 2026, with the Advance Payment Guarantee likewise submitted on the same date. PowerCo notes that these delays, despite numerous official reminders issued by PowerCo, were solely attributable to the Contractor. As a result, the

Contractor was prevented, due to express conditions specified in the Contract, from requesting payments and achieving a cash-positive position under the Contract as originally envisaged, which in turn adversely affected the timely appointment by the Contractor of Subcontractors and suppliers, including the design consultant, thereby contributing to delays in the Contractor's overall performance.

K-ENSOL's prolonged delay in providing these fundamental guarantees constitutes a material breach and evidences a systemic lack of contractual discipline, which continues to manifest in current performance failures, notwithstanding PowerCo's good faith, repeated accommodations and extended patience in awaiting the timely delivery of such documents.

5. Subcontractor Failures and Legal Non-Compliance

(Sub-Clause 4.4, Sub-Clause 6.9, Sub-Clause 1.13, Sub-Clause 4.22, Sub-Clause 6.2, Sub-Clause 6.11, Sub-Clause 2.1 (PC Part B))

Pursuant to Sub-Clause 4.4 [Subcontractors], the Contractor remains fully and exclusively responsible for the acts, omissions, conduct and compliance of all its personnel and Subcontractors as if they were its own, irrespective of whether such acts are performed.

Under Sub-Clause 6.9 [Contractor's Personnel], Sub-Clause 1.13 [Compliance with Laws], and the relevant labor and immigration provisions of Sub-Clauses 6.2 [Rates of Wages and Conditions of Labor], the Contractor is obliged to ensure that all personnel accessing the Site are duly registered, authorised, legally entitled to work and strictly compliant with all applicable legal, regulatory, security and safety requirements.

In addition, pursuant to Sub-Clause 4.22 [Security of the Site], the Contractor is required to comply with all access control, identification and security procedures established by the Employer.

Furthermore, in accordance with Sub-Clause 2.1 as amended by the Particular Conditions (Part B), the Contractor does not hold possession of the Site and acts solely as a possession user on behalf of the Employer, who retains direct control and authority over the Site, including the unrestricted right to regulate, restrict or deny access. This provision further underscores the Contractor's absolute obligation to ensure that only duly authorised, compliant and lawfully entitled personnel are permitted to access and operate within the Site.

In this context, the unlawful attempted access to the Sagunto construction site detected on 3 January 2026, involving the deliberate misuse of an access credential issued to one K-ENSOL employee by another non-authorised and non-registered individual, with K-ENSOL's knowledge, constitutes a serious security incident, a grave breach of the Contract and a manifest failure of internal supervision and control, fully attributable to K-ENSOL.

6. Non-Compliance with Immigration, Visa and Work Authorisation Requirements – Documentary Irregularities

(Sub-Clause 1.13, Sub-Clause 6.2, Sub-Clause 6.8, Sub-Clause 6.9, Sub-Clause 4.4, Sub-Clause 4.22, Sub-Clause 2.1 (as amended by Particular Conditions Part B))

Pursuant to Sub-Clause 1.13 [Compliance with Laws], the Contractor is fully responsible for ensuring that all activities performed under the Contract, including by its personnel and Subcontractors, strictly comply with all applicable legal, regulatory, labour and immigration requirements in Spain.

In particular, under Sub-Clause 6.2 [Rates of Wages and Conditions of Labour] and Sub-Clause 6.8 [Foreign Staff and Labour], the Contractor bears the exclusive obligation to ensure that all its personnel engaged in the Works hold the required valid residence visas and work authorisations, duly issued and fully effective prior to accessing the Site or performing any activities therein.

Notwithstanding the above, and despite PowerCo's good faith conduct and active support in facilitating the applicable VISA and immigration process – including the provision of procedural guidance, requirements and timelines to enable lawful access to the Site – K-ENSOL failed to properly follow and complete such process in time. As a result, PowerCo identified the presence of K-ENSOL's personnel whose immigration and work authorisation status had not been fully regularized in accordance with Spanish law and the Contract.

In application of Sub-Clause 4.22 [Security of the Site] and Sub-Clause 2.1 as amended by the Particular Conditions (Part B), pursuant to which the Employer retains direct control and authority over the Site and access thereto, PowerCo was therefore entitled – and obliged – to immediately remove such personnel from the Site as a precautionary and compliance measure, pending full regularisation of their legal status. Such removal was temporary in nature and strictly aimed at ensuring legal, regulatory and contractual compliance.

Furthermore, in line with Sub-Clause 4.4 [Subcontractors] and Sub-Clause 6.9 [Contractor's Personnel], K-ENSOL bears exclusive responsibility for the conduct, documentation and compliance of its Subcontractors. In this context, PowerCo has already formally notified K-ENSOL of indications of potential documentary falsification relating to medical leave certificates submitted by its Subcontractors, and required an immediate investigation, clarification and adoption of all necessary contractual, disciplinary or legal measures. As a precautionary measure, and fully in accordance with the Contract, K-ENSOL's Subcontractor was temporarily barred from accessing the Site until the situation is fully assessed and resolved.

Taken together, these circumstances evidence a serious and systemic failure by K-ENSOL to ensure legal, immigration and documentary compliance, as well as a lack of effective internal supervision and control over its personnel and Subcontractors.

7. Delay and Resistance in Timely Appointment of Dirección Facultativa (“DF”) and the Subcontractors

(Sub-Clauses 1.13, Sub-Clause 4.4)

PowerCo notes that the Contractor initially disputed responsibility for appointing DF, a third-party entity required under Spanish laws to validate project designs and certify the Works. Sub-Clause 1.13 expressly allocates this responsibility to the Contractor in connection with its obligation to comply with Applicable Laws. The DF appointment is an administrative prerequisite for completing the design, engineering, and permitting Works.

While the design, engineering and permitting activities were contractually required to be completed by 6 July 2025 under the Contractor’s baseline programme (ref Sub-Clause 8.3) and within 96 days from the Commencement Date, the DF appointment was only finalized on 15 October 2025, 197 calendar days after the Commencement Date. This delay materially affected the timely commencement and sequential progression of design development and the timely completion of permitting approvals.

The Contractor has also failed to appoint Subcontractors in a timely manner, pursuant to Sub-Clause 4.4 and in a manner enabling commencement and completion of the Works in accordance with Sub-Clause 8.3. This includes the late appointment of the design consultant Subcontractor, M/s WSP, as well as other execution and supply Subcontractors. Although design Works were scheduled to commence on 2 April 2025, WSP only began its services on 4 July 2025 due to late appointment. Consequently, the specialist design Subcontractor was mobilized 94 days after the Commencement Date, leaving significantly insufficient time to complete the design, engineering, and permitting Works within the 96-day period as allocated under the Contractor’s programme.

A similar negligent approach was adopted in the appointment of construction / installation, and supply Subcontractors, in breach of Sub-Clauses 4.4, 8.3, and 8.6. The Contractor failed to appoint any construction and installation Subcontractor until 20 October 2025, despite committing to conclude the agreements by 20 April 2025. Under the baseline program, construction activities planned to be executed via specialist Subcontractors, were scheduled to commence on 7 July 2025. By delaying these appointments, the Contractor unilaterally modified its execution strategy, splitting the Works from a single main Subcontractor into five separate Subcontractors, each responsible for a specific work discipline or sub-system.

In November 2025, the Contractor further revised its approach by assigning Subcontractors responsibility for execution drawings and material procurement, primarily engaging personnel from Asia. In December 2025, the strategy was again modified to engage European Subcontractors due to anticipated delays in obtaining Spanish work visas for overseas labor.

The above-described breaches reveal a level of organizational maturity, contractual reliability and operational control that is fundamentally incompatible with the scale, complexity and strategic importance of the Project, and that falls below of what PowerCo is entitled to require from a contractor.

PowerCo has acted in good faith, demonstrating a level of cooperation and flexibility that goes well beyond what is contractually required. Such conduct by the Employer cannot, and shall not, be construed as tolerance of non-performance, nor as a waiver of any contractual rights. Rather, it reflects PowerCo's clear and consistent commitment to the correction of deficiencies, the proper execution of the Works and the successful delivery of the Project in accordance with the Contract, while affording K-ENSOL every reasonable opportunity to align its performance with the standards contractually required.

K-ENSOL is hereby expressly reminded that PowerCo is developing a highly strategically battery-cell project in Sagunto (Valencia – Spain), and that continued deficient performance, lack of discipline or attempts to pressure, delay or undermine contractual commitments are incompatible with the standards, scale and expectations associated with PowerCo's standing and reputation.

Should K-ENSOL fail to promptly and effectively remedy the breaches non-exhaustively identified herein, or should it otherwise demonstrate an inability or unwillingness to duly perform its contractual obligations, PowerCo will consider invoking, without further hesitation, to exercise its rights under Clause 15 of the Contract, including termination for default under Sub-Clause 15.2. In such event, K-ENSOL would be exposed, inter alia, to the liquidation of the Performance Security, the calling of the Advance Payment Guarantee, immediate removal from the Site, takeover and use of Contractor's Documents, Materials and Equipment, assignment of subcontracts, and the recovery of all losses, damages and additional completion and compensation costs, subject to the contractual liability under Sub-Clause 17.6 of the Conditions of Contract.

PowerCo therefore expects this Notice to Correct under Sub-Clause 15.1 to be treated with the utmost seriousness and to receive immediate, concrete and verifiable corrective action, within fourteen (14) days as of receipt of this letter, showing that K-ENSOL is capable of performing at the level contractually required and commensurate with the stature of the Employer, with such corrective action being evidenced primarily through tangible, timely and effective measures implemented in practice, rather than through formal statements, explanations or remedial plans existing solely on paper, and expressly reiterates that PowerCo will not, under any circumstances, tolerate defiant and obstructive conducts on the part of the Contractor, its Subcontractors or associated parties.

Yours faithfully,

PowerCo Battery Spain, S.A.U



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Enclosure(s): N/A

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